

Kerala State Electricity Board & Ors. v. Thomas Joseph Alias Thomas M.J. & Ors. (with connected appeals)

Supreme Court of India · Two-Judge Bench · 16 December 2022 · (2022) 8 SCC 723 · Civil Appeal Nos. 9252-9253 of 2022 (arising out of SLP(C) Nos. 7860-7861 of 2018), with C.A. Nos. 9254-9255, 9256-9257, 9258-9259, 9260-9261, 9262-9263, 9264-9265, 9266-9267, 9268-9269, 9270-9271 of 2022 · **Civil appeals allowed; Kerala High Court's declaration in para 31(vi) set aside; Regulation 153(15) of the Kerala Electricity Supply Code, 2014 declared invalid as ultra vires Section 126 of the Electricity Act, 2003**

HEADNOTE

A landmark ruling resolving a recurring, high-stakes question under Section 126 of the Electricity Act, 2003 that had generated a flood of litigation in Kerala: whether a consumer's overdrawal of electricity in excess of the sanctioned/connected load — within the same premises, for the same purpose, involving no change of tariff category, already metered and paid for, and involving no artificial means or meter-tampering — nonetheless constitutes 'unauthorised use of electricity' under Explanation (b)(iv) to Section 126, exposing the consumer to assessment at twice the full tariff (both fixed and energy charges), or whether such 'mere overdrawal' cases may be assessed only at twice the fixed charges (as the Kerala High Court had held, carving out an exception not found in the statutory text). The Supreme Court, applying and extending the three-Judge Bench ruling in *Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. (Southco) v. Seetaram Rice Mill*, held that Section 126 (read with Section 127) constitutes a complete code in itself with the purpose of restricting unauthorised consumption of electricity to protect the integrity of the supply system; the statutory expression 'unauthorised use of electricity' is not exhaustively defined by the five sub-clauses of Explanation (b) but must be purposively construed, and overdrawal in excess of sanctioned/connected load falls squarely within Explanation (b)(iv) regardless of whether it changes the tariff category, causes any actual revenue loss to the licensee, or involves artificial means or tampering — because such overdrawal is inherently 'prejudicial to the public at large,' threatening to 'throw out of gear the entire supply system' and increase voltage fluctuations, independent of any effect on individual billing. Since Section 45(3)(a) makes clear that 'tariff' includes both fixed charges and energy charges, Section 126(6)'s mandate of assessment 'at a rate equal to twice the tariff applicable' necessarily includes both components in every case of unauthorised use — there is no textual or principled basis for a judicially-carved exception limiting liability to twice the fixed charges alone in 'mere overdrawal, same-tariff, already-metered' cases. Most significantly, the Court held that Regulation 153(15) of the Kerala Electricity Supply Code, 2014 — which purported to exempt 'unauthorised additional load in the same premises and under same tariff' from being 'reckoned as unauthorised use of electricity' — is ultra vires Section 126 of the Act and invalid, since delegated/subordinate legislation made under Section 50 (read with Section 181(2)(x)) can only supplement, not supplant, the parent Act, and cannot create a substantive exemption from Section 126 liability that the Parliament itself did not provide; a State Commission's Supply Code, per the Court's own earlier ruling in *U.P. Power Corporation Ltd. v. Anis Ahmad*, is confined to matters of billing, recovery, disconnection, restoration, and tampering-prevention — it 'need not provide, and does not relate to,' assessment of unauthorised-use charges under Section 126, which lies exclusively within Section 126 and 127's self-contained statutory scheme.

HOLDING-UNITS

HOLDING-UNIT · EA2003::126

A consumer's overdrawal of electricity in excess of the sanctioned/connected load constitutes 'unauthorised use of electricity' under Explanation (b)(iv) to s.126 of the Electricity Act, 2003 and must be assessed at twice the FULL tariff (both fixed and energy charges) under s.126(6), even where the overdrawal occurs in the same premises, for the same purpose, involves no change of tariff category, has already been metered and paid for, and involves no artificial means or tampering — there is no textual or principled basis to carve out an exception limiting such 'mere overdrawal' cases to twice the fixed charges alone

QUESTION

Does consumption of electricity in excess of the sanctioned/connected load, within the same premises and for the same purpose (not involving any change in tariff category, already metered and paid, and not by artificial means or a tampered meter), amount to 'unauthorised use of electricity' under Explanation (b)(iv) to Section 126 exposing the consumer to assessment at twice the full tariff (fixed plus energy charges), or does it fall within a narrower category assessable only

at twice the fixed charges, as the Kerala High Court held in para 31(vi) of its impugned judgment (following its own precedent in *Classic Color Lab v. Assistant Engineer, KSEB* and distinguishing *Sk. Jafar Ali v. West Bengal SEDCL*)?

HOLDING

The overdrawal constitutes 'unauthorised use of electricity' in every such case and must be assessed at twice the FULL tariff under s.126(6); the Kerala High Court's para 31(vi) exception is unsustainable and set aside. Following *Seetaram Rice Mill's* holding that ss.126-127 together form a 'complete code' whose purpose is to restrict unauthorised consumption and that the Explanation's use of the word 'means' (rather than 'means and includes' or 'does not include') signals the legislature's intent NOT to exhaustively limit the provision's scope, the Court held Explanation (b)(iv) squarely covers excess-load consumption irrespective of whether it also changes the tariff category — a contention to the contrary was expressly rejected in *Seetaram Rice Mill's* own para 72, which this Court quoted and applied. The decisive point overlooked by the Kerala High Court is that overdrawal is 'prejudicial to the public at large' independent of any revenue effect: it threatens to 'throw out of gear the entire supply system, undermining its efficiency, efficacy and even increasing voltage fluctuations' — a systemic infrastructural concern entirely distinct from whether the individual consumer's bill changes. Since s.45(3)(a) defines 'tariff' to include both a fixed charge and the charge for actual electricity supplied, and s.126(6) requires assessment 'at a rate equal to twice the tariff applicable,' this necessarily includes both fixed and energy charges in every case of unauthorised use — there is no room in the statutory text for a category of case where only fixed charges (and not energy charges) are chargeable. The Court noted staggering real-world stakes: unauthorised-use assessments in Kerala totalled nearly Rs. 60 crore over three years (2014-17), underscoring why a judicially-engrafted revenue-neutral exception was inappropriate. ¶ paras 51-60, 87-91

LIMITING FACTS

All respondents were commercial/industrial LT consumers found, on inspection, to be drawing electricity in excess of their connected/contracted load; the Kerala High Court (Division Bench, on a reference from a Single Judge given the volume of similar litigation) had held such 'mere overdrawal' cases — distinct from cases of artificial means, unauthorised means, tampered meters, or premises/area violations under Explanation (b)(i), (ii), (iii), (v) — could only be assessed at twice the fixed charges, relying on Regulation 153(15) of the Kerala Electricity Supply Code, 2014.

HOLDING-UNIT • EA2003::50

Regulation 153(15) of the Kerala Electricity Supply Code, 2014 (exempting 'unauthorised additional load in the same premises and under same tariff' from being reckoned as 'unauthorised use of electricity') is ultra vires Section 126 of the Electricity Act, 2003 and invalid, since a State Commission's delegated Supply Code rule-making power under s.50/s.181(2)(x) cannot create substantive exemptions from liability that the parent Act's own self-contained s.126/s.127 scheme does not provide

QUESTION

Can the Kerala State Electricity Regulatory Commission, exercising its delegated rule-making power under s.50 read with s.181(2)(x) of the Electricity Act, 2003 to frame an Electricity Supply Code, validly enact Regulation 153(15) exempting 'unauthorised additional load in the same premises and under same tariff' from Section 126's 'unauthorised use of electricity' assessment regime?

HOLDING

No, Regulation 153(15) is ultra vires and declared invalid. Applying the settled doctrine that delegated legislation cannot travel beyond, or be inconsistent with, its parent enabling Act (*Sukhdev Singh v. Bhagatram Sardar Singh Raghuvanshi*; *General Officer Commanding-in-Chief v. Dr. Subhash Chandra Yadav*; *State of Karnataka v. H. Ganesh Kamath*; *Kunj Behari Lal Butail v. State of H.P.*; *St. Johns Teachers Training Institute v. Regional Director, NCTE*; *State of T.N. v. P. Krishnamurthy*; *Global Energy Ltd. v. CERC*; *Pratap Chandra Mehta v. State Bar Council of M.P.*; *Dr. Mahachandra Prasad Singh v. Chairman, Bihar Legislative Council*; *McEldowney v. Forde*), the Court held that s.50 empowers a Supply Code to address recovery of charges, billing intervals, disconnection/restoration, and tampering-prevention — following its own earlier ruling in *U.P. Power Corporation Ltd. v. Anis Ahmad* that the Supply Code 'need not provide provisions relating to, [and does] not relate to, assessment of charges for unauthorised use of electricity under Section 126.' Since s.126/127 constitute a complete, self-contained code (*Seetaram Rice Mill*), a Supply Code Regulation carving out an exemption from that code's liability — however well-intentioned to protect domestic-type consumers from disproportionate billing — travels beyond the delegated rule-making power and directly frustrates the object of s.126 (restricting unauthorised consumption to protect the supply system), rendering it inconsistent with the parent Act and therefore void. ¶ paras 61-82, 89, 92

LIMITING FACTS

Regulation 153(15), Kerala Electricity Supply Code, 2014 (as later amended in 2016 to add 'except in the case of consumers billed on the basis of connected load') was the sole basis on which the Kerala High Court had carved out its para 31(vi) exception; the Kerala State Electricity Regulatory Commission (respondent no. 3) defended the Regulation's

validity, distinguishing Seetaram Rice Mill as arising under Orissa's differently-worded regulations and arguing the Kerala Code's contract-demand-based billing scheme (Regulations 99, 101, 153(4)-(14)) already adequately addressed revenue-loss and infrastructure concerns through separate mechanisms (150% demand-charge surcharge, mandatory disconnection where infrastructure cannot accommodate the excess).

PRINCIPLE TAGS

overdrawal-is-unauthorised-use-regardless-of-tariff-change-or-revenue-loss Extends and crystallises Seetaram Rice Mill's core holding: excess-load consumption is 'unauthorised use of electricity' under Explanation (b)(iv) to s.126 in every case, independent of whether it changes tariff category or causes revenue loss, because the harm targeted by s.126 is systemic (grid integrity, voltage stability) not merely pecuniary — the single most significant s.126/Explanation(b) doctrinal clarification in this corpus, directly governing every 'excess load' assessment case in the collection (cf. SCJ-042, SCJ-061, SCJ-111, SCJ-123's Clause 3.4 independent-feeder line, SCJ-121, SCJ-126, SCJ-139, SCJ-145). Lead authorities: *Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. (Southco) v. Sri Seetaram Rice Mill* [43074463]. ¶ paras 51-60

supply-code-regulation-cannot-exempt-from-s126-liability-ultra-vires A landmark, sharply-reasoned ultra vires ruling: a State Commission's Supply Code, being delegated legislation under s.50/s.181(2)(x), cannot create a substantive carve-out from Section 126 liability that the parent Act's self-contained assessment code does not itself provide — reinforcing and extending Anis Ahmad's holding (already in this corpus at SCJ-139) that Supply Codes 'do not relate to' s.126 assessment, into an affirmative invalidation of a specific Regulation. This is the leading authority in this corpus on the limits of Supply Code rule-making power vis-a-vis the parent Electricity Act. Lead authorities: *U.P. Power Corporation Ltd. & Ors. v. Anis Ahmad* [55216283], *Sukhdev Singh & Ors. v. Bhagatram Sardar Singh Raghuwanshi & Anr.* [974148]. ¶ paras 62-82, 92

tariff-under-s126-6-includes-both-fixed-and-energy-charges Confirms, via s.45(3)(a)'s definition, that 'tariff' for s.126(6) purposes includes both fixed charges and energy charges, foreclosing any judicially- or regulation-created category of unauthorised-use assessment limited to fixed charges alone. ¶ paras 20-21, 87-88

unauthorised-connected-load-detected-in-excess-of-sanction-is-assessable Applies Punjab SEB v. Vishwa Caliber Builders' holding that a licensee's inability to timeously release a sanctioned enhancement does not excuse a consumer's overdrawal in the interim, and that an Ombudsman/adjudicatory authority commits jurisdictional error by directing regularisation/refund of amounts properly charged for such overdrawal absent statutory authorisation — reinforcing this corpus's Ombudsman-jurisdiction-limits cluster (cf. SCJ-123's citation of the same case; SCJ-138). Lead authorities: *Punjab State Electricity Board v. Vishwa Caliber Builders Private Limited* [93301]. ¶ paras 59-60

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — ALL OTHER FINDINGS OF THE KERALA HIGH COURT'S IMPUGNED JUDGMENT BEYOND PARA 31(VI) (E.G., WHETHER THE ASSESSING OFFICER'S PRESENCE AT INSPECTION IS MANDATORY; WHETHER INTENTION/MENS REA IS REQUIRED; VALIDITY OF REGULATION 51(1) OF THE CONDITIONS OF SUPPLY, 2005 AND THE 2008 BOARD ORDER)

The Supreme Court expressly confined its review to the legality of para 31(vi) alone, since no cross-appeal was filed by any consumer challenging the High Court's other findings, all of which otherwise favoured the Board and were left undisturbed.

¶ para 28

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. (Southco) & Another v. Sri Seetaram Rice Mill</i> (2012) 2 SCC 108 [43074463] Supreme Court (Three-Judge Bench)	Sections 126-127 of the Electricity Act, 2003 constitute a complete code; 'unauthorised use of electricity' under Explanation (b) is not exhaustively defined by its five sub-clauses and must be purposively construed to cover excess-load consumption regardless of tariff-category change; overdrawal is prejudicial to the public at large as it threatens the entire supply system.	Extensively followed and applied as the controlling precedent; its paras 18, 37, 50, 61, 67, and 72 quoted and relied upon at length.	Court	Followed

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>U.P. Power Corporation Ltd. & Ors. v. Anis Ahmad</i> (2013) 8 SCC 491 [55216283] Supreme Court	The Electricity Supply Code under s.50 need not provide, and does not relate to, assessment of charges for 'unauthorised use of electricity' under Section 126 or offences under Sections 135-140; these fall within Section 126/127's own separate statutory scheme.	Followed and applied to hold that a Supply Code Regulation purporting to create an exemption from s.126 liability is ultra vires.	Court	Followed
<i>Punjab State Electricity Board v. Vishwa Caliber Builders Private Limited</i> (2010) 4 SCC 539 [93301] Supreme Court	An Ombudsman commits jurisdictional error, absent statutory authorisation, by directing regularisation of unauthorised electricity use and refund of amounts properly charged for consumption in excess of sanctioned load, even where the licensee's own infrastructural delay contributed to the situation.	Followed as illustrating that excess-load consumption is validly assessable as unauthorised use.	Court	Followed
<i>M/s. Classic Color Lab v. Assistant Engineer and Others (Kerala HC)</i> 2014 (3) KLT 57 [100059048] Kerala High Court (Division Bench)	Following Seetaram Rice Mill, an assessment under s.126(6) for unauthorised use (there, industrial-tariff electricity misused for commercial purposes) must be at the rate applicable to the higher-tariff category actually used, not the consumer's nominal category; a purposive (not textual) interpretation of s.126 is required.	Approved as correctly decided by the Kerala High Court below (and effectively reaffirmed by the Supreme Court), while the Kerala High Court's later attempt in the present case to carve out a fixed-charges-only exception for 'mere overdrawal' cases was rejected as inconsistent with the same reasoning.	Court	Followed
<i>Sk. Jafar Ali v. West Bengal State Electricity Distribution Company Limited</i> AIR 2010 Cal 84 [147754378] Calcutta High Court	The phrase 'applicable for the relevant category of services' in s.126(6) should be construed as the rate applicable to the category the consumer belongs to, not the higher category of the unauthorised use.	Disagreed with by the Kerala High Court below (a disagreement left undisturbed since the Supreme Court's review was confined to para 31(vi)).	Court	Distinguished
<i>Sukhdev Singh & Ors. v. Bhagatram Sardar Singh Raghuvanshi & Anr.</i> (1975) 1 SCC 421 [974148] Supreme Court (Constitution Bench)	Statutory bodies cannot use rule/regulation-making power to enlarge their powers beyond the scope intended by the legislature; delegated rules/regulations establish patterns of conduct subordinate to the statute.	Followed as foundational authority on the limits of delegated legislation.	Court	Followed
<i>General Officer Commanding-in-Chief & Anr. v. Dr. Subhash Chandra Yadav & Anr.</i> (1988) 2 SCC 351 [600280] Supreme Court	For a rule to have statutory effect, it must (1) conform to the provisions of the statute under which it is framed, and (2) come within the scope of the rule-making power; failing either, the rule is void.	Followed.	Court	Followed
<i>Additional District Magistrate (Rev.), Delhi Admn. v. Siri Ram</i> (2000) 5 SCC 451 Supreme Court	Conferment of rule-making power does not enable the delegate to make rules travelling beyond, inconsistent with, or repugnant to the enabling Act.	Followed.	Court	Followed
<i>State of Karnataka & Anr. v. H. Ganesh Kamath & Ors.</i> (1983) 2 SCC 402 [1245411] Supreme Court	It is a well-settled principle that conferment of rule-making power does not enable the rule-making authority to make a rule travelling beyond, or inconsistent with, the enabling Act.	Followed.	Court	Followed
<i>Kunj Behari Lal Butail & Ors. v. State of H.P. &</i>	Where a general rule-making power is conferred, the object of the	Followed.	Court	Followed

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ors.</i> (2000) 3 SCC 40 [1598183] Supreme Court	enactment must be found and the rules tested against whether they fall within its scope; where the delegation is not general, the rules must be protected by the limits prescribed by the parent Act.			
<i>St. John's Teachers Training Institute v. Regional Director, National Council for Teacher Education & Anr.</i> (2003) 3 SCC 321 [633712] Supreme Court	Delegated legislation may supplement, but not supplant, the parent enabling Act; what is permitted is delegation of ancillary/subordinate legislative functions or filling up of details.	Followed.	Court	Followed
<i>Global Energy Limited & Anr. v. Central Electricity Regulatory Commission</i> (2009) 15 SCC 570 [1918433] Supreme Court	A general 'for carrying out the purpose of the Act' rule-making delegation cannot be exercised to bring into existence substantive rights, obligations or disabilities not contemplated by the parent Act.	Followed as directly applicable in the electricity-regulatory context.	Court	Followed
<i>State of T.N. & Anr. v. P. Krishnamurthy & Ors.</i> (2006) 4 SCC 517 [975323] Supreme Court	Courts must consider the nature, object and scheme of the enabling Act when assessing subordinate legislation's validity; where inconsistency is not with a specific provision but with the object/scheme of the parent Act, the court should proceed with caution before declaring invalidity.	Followed, though the Court ultimately found the inconsistency here direct and clear.	Court	Followed
<i>Pratap Chandra Mehta v. State Bar Council of Madhya Pradesh & Ors.</i> (2011) 9 SCC 573 [476525] Supreme Court	Courts should give delegated-legislation provisions purposive construction to perpetuate the parent Act's object, while ensuring the rules remain within the field circumscribed by that Act.	Followed.	Court	Followed
<i>Dr. Mahachandra Prasad Singh v. Chairman, Bihar Legislative Council & Ors.</i> (2004) 8 SCC 747 [1300862] Supreme Court	A delegate's power under delegated legislation is strictly ancillary; it does not enable extension of the enactment's scope, and cannot be used to widen the Act's purposes or depart from its ends.	Followed.	Court	Followed
<i>McEldowney v. Forde</i> (1971) AC 632 House of Lords	In reviewing subordinate legislation's validity, a court's task is threefold: determine the meaning of the enabling words, determine the meaning of the subordinate legislation, and decide whether the latter complies with the former.	Cited (Lord Diplock) for the analytical framework of ultra vires review.	Court	Cited
<i>PTC India Ltd. v. Central Electricity Regulatory Commission</i> (2010) 4 SCC 603 Supreme Court	The term 'tariff', though undefined in the Electricity Act, 2003, includes not only rate-fixation but also the rules and regulations relating to it.	Cited in support of a broad understanding of 'tariff'.	Court	Cited

